

Ferric chloride 40% • Supplier A

Aquaverde (fictional) • Rotterdam • DAP • Q2 2026 • EUR/t • about 2,200 t a year

Negotiation position

FLOOR

€252

cost before margin: a minimum, not a target

TARGET • THE SHOULD-COST

€291

open near here

THEIR PRICE

€339

€48/t above should-cost

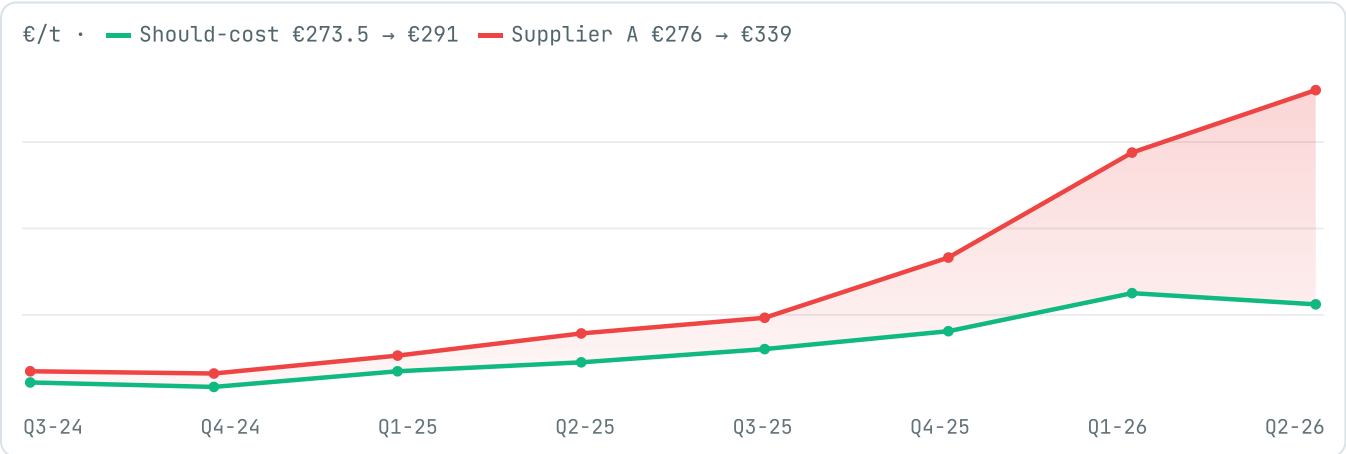
Defensible range €252–€291. Open near should-cost; treat the floor as your walk-away point, not your opening offer. Annual gap ≈ €105,600 (€48 × 2,200 t).

Cost drivers

COST LINE	WEIGHT	INDEX (JAN 2023 = 100)	12-MONTH MOVE	€/T TODAY
Iron source	26%	105	+12.0%	€82
Hydrochloric acid	28%	82	+6.0%	€69
Energy	11%	90	-3.0%	€30
Labour	12%	115	+3.5%	€41
Freight & delivery (DAP), fixed	10%	—	—	€30
Margin (fixed)	13%	—	—	€39
Should-cost				€291

Each index line = €300 starting price (Jan 2023) × weight × index ÷ 100. Freight and delivery to Rotterdam (DAP) and the margin are fixed lines; the floor is the should-cost minus the margin. Illustrative weights, not the library recipe.

Price evolution • quarterly



In a year, the should-cost rose about €13 a tonne; Supplier A's price rose €54.50. The gap opened in Q4 2025.

Supplier A's claims, checked against the indexes

THEY SAID	INDEX, 12 MONTHS	VERDICT
"Hydrochloric acid is up 30% on the year"	+6.0%	Overstated
"Energy is up 8%"	-3.0%	Contradicted — it moved the other way
"Labour went up 4%"	+3.5%	Real, and already inside the should-cost
"Iron is up 20%"	+12.0%	Overstated

Rules: within 2 points of the index = already priced; under 0.5% = did not move; opposite sign = contradicted. Index moves explain about €13 of the €54.50 increase in a year; the €48 above the should-cost is not explained by the indexes in the recipe, nor by freight and delivery.

Call script

1. "We have modelled ferric chloride 40% bottom-up from published indexes. The defensible number is €291/t; your current price is €339/t, €48/t above that."
2. "Labour is up 3.5% on the index. That is real, and it is already inside the should-cost."
3. "We are ready to settle at €291/t. Below €252/t there is no margin left in the chain, so that is not a number we expect you to accept."

Every figure comes from the calculation engine, not from a language model.

How these numbers are built

Should-cost = starting price × Σ (weight × index ÷ index at start) + margin, then Incoterm and exchange rate.
Floor = should-cost – margin. Indexes are monthly, base 100 = January 2023; the library is built mostly on public statistics and exchange benchmarks, each series naming its source where one is documented. Full method: costadvisor.org/method

See it on your own product

Bring one product and one price you pay. In a 30-minute demo we build its should-cost, its gap, its floor and this brief, on the call. Book at costadvisor.org/demo